

► **FOLLOWING THREE YEARS** of talks and a renewed resolve this year because of trade-related uncertainties, India and the UK have concluded the free trade agreement (FTA) that aims to double bilateral trade to \$120 billion by 2030.

The deal, seen as a precursor to, and most likely a model for, similar agreements with the US and the European Union, allows both India and the UK to expand their exports with greater market access.

As part of the FTA, India will slash tariffs on key products such as whisky, automobiles, cosmetics and medical devices, locking in reductions on 90% of tariff lines. India will also get duty free or zero-rated access for 99% of its exports to the UK, as well as easing of restrictions on services trade that will enable greater mobility of skilled professionals and respite from social security contributions.

Both countries have also chosen

around US tariff policies,” she says.

Meanwhile, India has fast-tracked negotiations with the US on the proposed bilateral trade agreement (BTA) as it hopes to protect its export markets and escape the “reciprocal” tariffs announced by US President Donald Trump after the current 90-day pause ends.

The past month has witnessed not only the visit of US Vice President J.D. Vance to India and his meeting with Prime Minister Narendra Modi, but also Finance Minister Nirmala Sitharaman’s trip to the US for the IMF-Fund Bank meetings, where she reaffirmed India’s commitment to the proposed trade deal.

During their meeting, PM Modi and the US Vice President welcomed the significant progress in the negotiations for a mutually beneficial India-US BTA.

Meanwhile, an Indian delegation led by its Chief Negotiator Rajesh Agarwal, who is additional secre-

“We hope that the first tranche of the BTA will be signed before the 90-day pause on reciprocal tariffs expires. For now, it could only focus on goods and other issues such as services could be taken up in further discussions,” says Ajay Sahai, Director General and CEO, Federation of Indian Export Organisations (FIEO). In FY25, India’s exports to the US totalled \$86.51 billion, up 11.66% from \$77.52 billion in FY24. India’s imports from the US grew 7.44% to \$45.33 billion last fiscal.

The 90-day pause on “reciprocal” tariffs will end on July 8 midnight. Since the pause announced by Trump, US buyers have asked for Indian shipments to reach before July 9, says Sahai. “Even beyond that, some of the large companies are continuing with their orders as they feel that tariffs on India will be lower compared to other countries such as China and Vietnam,” he explains.

Industry expectations abound that the BTA would include a zero-for-zero tariff deal for certain items and will provide clarity on rules of origin as well as safeguarding from dumping of goods from other countries. Tech and e-commerce are other areas up for discussion.

Keeping its options open, India is also working on fast-tracking the FTA with the EU as it tries to safeguard its export markets. It is also looking for an early harvest deal. Union Commerce and Industry minister Piyush Goyal recently embarked on a tour of Europe with three cities on his itinerary, including Oslo and Brussels.

With uncertainty prevailing on the global economy and the continuing trade tensions from US tariff policies, India is clearly working to expand its export market and support its growth engines as GDP projections are scaled down and businesses turn cautious. But the conclusion of the India-UK FTA has given a reason for cheer. **BT**

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INDIA AND THE UK HAVE CHOSEN TO PROTECT THEIR INTERESTS IN CERTAIN AREAS LIKE AGRICULTURE AND DAIRY

to protect their interests in certain areas. Sensitive products across agriculture and dairy like apples as well as certain industrial goods like smartphones, optical fibres and silver and diamond have been excluded and no duty benefits will be provided by India to the UK. Similarly, it was decided that the FTA would not address issues such as short-term work visas for Indian students.

Pallavi Bakhru, Partner and UK Corridor Leader, Grant Thornton Bharat, notes that the FTA stands out as a strategically pivotal development for both the nations. “It arrives at a critical juncture, offering timely value amid global trade realignments and uncertainty

tary in the ministry of commerce also went to Washington DC for negotiation on the BTA on April 23. The terms of reference for the BTA have been finalised and expectations are that the first tranche of the deal could be signed even before the fall 2025 deadline.

US Treasury Secretary Scott Bessent has noted that India has fewer non-tariff trade barriers, no currency manipulation, little government subsidies, all of which make a deal much easier and is optimistic of signing a BTA.

Domestic industry remains hopeful of a successful negotiation of the BTA but is worried about exports as the US is India’s largest trading partner.